KPMG

Project Soccer

DRAFT

Financial Due Diligence

June 15, 2018

This document is submitted as a DRAFT for your review. In addition, the document is presently under review within KPMG LLP ("KPMG"). During this internal review process, KPMG will revisit the assumptions upon which our conclusions are based and submit the document for comment to at least one qualified reader not involved in its creation. This process is intended to ensure that the final product fully meets your requirements and our own standards. KPMG authorizes NO use of our reference to the figures, conclusions or information contained in the document until you have ascertained that the facts we present in the document are correct and we have completed our internal review process.

Important notice

This report is provided to VPCP Management L.P. (“Client”) on a confidential basis pursuant to our engagement letter dated May 7, 2018 (“Engagement Agreement”) and is subject in all respects to the terms and conditions of the Engagement Agreement, including restrictions on use of this report by third parties.

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Private and confidential

Mr. Seth Cohen
VPCP Management, L.P.
510 Madison Avenue, 25th floor
New York, NY 1022

June 15, 2018

Dear Mr. Cohen:

We have substantially completed our procedures to assist VPCP Management, L.P. (“Client” or “you”) in performing due diligence in connection with your prospective acquisition (the “Transaction”) of Round Star, Inc. d/b/a Super Soccer Stars (the “Company” or “Target”), in accordance with the terms of our engagement letter dated January 19, 2018, including its Terms and Conditions for Advisory and Tax Services.

Objective

The objective of our engagement was to assist you with your assessment of the risks and opportunities of your prospective acquisition of Target. Our work in this report was based on information provided by you and obtained in an electronic data room and discussions with Target Management and its advisors. The primary scope of our engagement was to make inquiries and perform analyses based on information made available to us, directed toward those business activities and related financial data that you have identified as being of concern to you.

Basis of Information

The engagement letter describes the procedures we were to perform. Those procedures were selected by you and were limited in nature and extent to those that you determined best fit your needs. We make no representation regarding the sufficiency for your purposes of the procedures selected, and those procedures will not necessarily disclose all significant matters about Target or reveal errors in the underlying information, instances of fraud, or illegal acts, if any. This report was prepared by us on the basis that you provided us with all relevant information you received concerning Target.

The procedures we performed do not constitute an audit, examination or review in accordance with standards established by the Auditing and Assurance Standards Board (“AASB”) in Canada, and we have not otherwise verified the information we obtained or presented in this report. We express no opinion or any other form of assurance on Target’s internal control over financial reporting or on the information presented in our report, and make no representations concerning its accuracy or completeness.

We have not compiled, examined, or applied other procedures in accordance with the Assurance and Related Services Guidelines issued by the AASB to prospective information contained in this document and, accordingly, express no opinion or any other form of assurance or representations concerning the accuracy, completeness or presentation format of such prospective information. There will usually be differences between projected and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material.

The data included in this report was obtained from you from April 22, 2018 to June 14, 2018, inclusive. Since many aspects of the transaction with Target have either not been finalized or are not yet documented, changes may occur that materially affect the financial and other information we received and reported to you. We have no obligation to update our report or to revise the information contained herein to reflect events and transactions occurring subsequent to June 14, 2018.

Because of its special nature, this report is not suited for any purpose other than to assist Client in its evaluation of Target and, as such and as agreed in the engagement letter, is restricted for your internal use only. Accordingly, KPMG does not accept any liability or responsibility to any third party who may use or place reliance on our report.

Yours truly,

DRAFT REPORT

Glossary

$ / USD	United States dollars
$'000	Thousands of United States dollars
AP	Accounts payable
AR	Accounts receivable
BD	Business Development
CA	California
CEO	Chief Executive Officer
CFO	Chief Financial Officer
Client	VPCP Management, LP
COGS	Cost of goods sold
DC	Washington DC
DIO	Days Inventory Outstanding
DoF	Director of Finance
DSO	Days Sales Outstanding
EBITDA	Earnings before interest, tax, depreciation, and amortization
FL	Florida
FTE	Full Time Equivalent
FYXX	Fiscal year ended December 31, 20XX
IL	Illinois
MA	Massachusetts
Mgmt	Management
NY	New York
NYC	New York City
P&L	Profit & loss statement
PA	Pennsylvania
QoE	Quality of Earnings
RSF	Round Star Foundation
Target	Round Star, Inc. d/b/a Super Soccer Stars
TTM	Trailing twelve months
TX	Texas
UK	United Kingdom
US	United States
US GAAP	Generally Accepted Accounting Principles in the United States
YoY	Year over Year
YTD	Year to date

The currency figures in this report are stated in USD unless otherwise noted.
Our report makes reference to “KPMG analysis”. This indicates only that KPMG has undertaken certain analytical procedures on the underlying data to arrive at the information presented. We do not accept responsibility for the underlying data.

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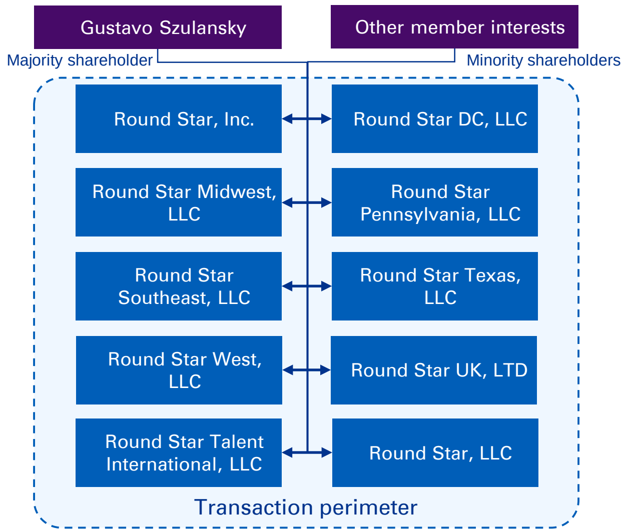
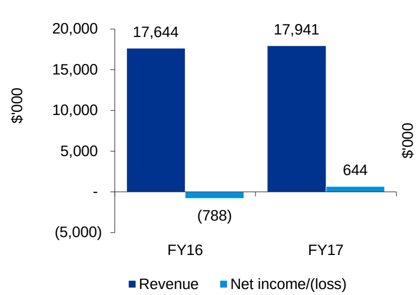


Source: Membership interests table
Note: The chart above does not represent the actual legal structure of the Company. See Appendix 2 for further details over membership interests in legal entities and trade names.

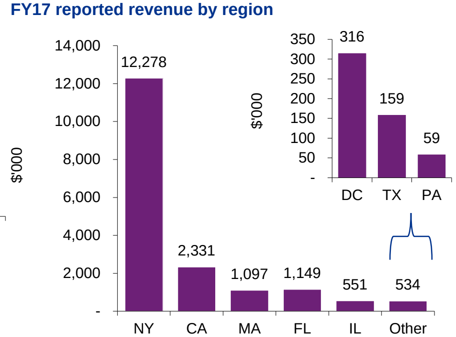
Financial summary

Reported revenue & net income/(loss)



Source: Management provided trial balances

FY17 reported revenue by region



Business overview

- Round Star, Inc., doing business as Super Soccer Stars (the "Company"), is a soccer development program for children aged 12-months to 17-years that offers the following programs:
  - Kick & Play: Ages 12 months to 24 months;
  - Super Soccer Stars: Ages two to 12 years old;
  - Premier Development: From U5 to U18;
  - Premier Travel: From U8 to U18; and
  - Shine Program: For children of all ages and adults with special needs.
- The Company provides soccer development instruction to children in schools, child care centres, and facilities in New York, New Jersey, Connecticut, Massachusetts, California, Florida, Illinois, Pennsylvania, Texas, Washington DC, and London (UK).
- The Company operates two business models. The "Direct Selling" or "Open" model accounts for approximately 88% of revenue whereby classes are billed to individual parents for enrolling their children in the programs. The "Organizational" or "Closed" model represents the remaining 12% of revenue and involves partnering with different organizations such as schools, recreation departments, corporate clients, etc. to provide coaching services.
- During FY17, there were 679 active coaches employed by the Company.

Information overview and access

- The analysis in this report is prepared based on the following sources of information:
  - Management information: Internal statements and other supporting documentation;
  - Discussions with Management, the Company's external accountant, and the Company's advisor by conference call; and
  - Unaudited monthly trial balances.

Executive summary

Summary financial statements

The adjacent tables present the combined income statement and balance sheet of the Company. The Company prepares its financial statements in accordance with US GAAP.

The Company's financial statements are unaudited with a fiscal year end of December 31.

Income statement

$'000	FY16	FY17
Revenue	17,644	17,941
Expenses		
Gross pay - Coaching	(5,461)	(5,308)
Gross pay - Admin	(4,804)	(4,496)
Payroll expenses	(1,548)	(1,563)
Location rent / facility fees	(1,643)	(1,195)
Premier expense	(998)	(942)
Office expenses	(1,000)	(922)
Professional fees	(401)	(386)
Marketing expenses	(238)	(166)
Other	(2,338)	(2,318)
Total expenses	(18,432)	(17,297)
Net income / (loss)	**(788)**	**644**

Source: Management provided trial balances; KPMG analysis

Balance sheet

	As at	
$'000	31-Dec-16	31-Dec-17
Assets		
Cash	144	135
Accounts receivable	475	417
Other current assets	109	297
Current assets	728	849
Fixed assets	329	358
Other non-current assets	2,151	2,875
Total assets	**3,208**	**4,081**
Liabilities & equity		
Accounts payable	(809)	(769)
Credit cards payable	(186)	(279)
Other current liabilities	(5,356)	(5,459)
Current liabilities	(6,350)	(6,507)
Long term liabilities	(394)	(580)
Total liabilities	(6,744)	(7,087)
Equity	3,537	3,006
Total liabilities & equity	**(3,208)**	**(4,081)**

Source: Management provided trial balances; KPMG analysis

Basis of presentation

— The above operating results are based on the monthly trial balances internally produced by the Company's QuickBooks system. The majority of the analysis in this report related to the Company is based on these statements.

— All figures are presented in USD, unless otherwise noted.

Executive summary

Key findings (1/6)

Issue	Summary observations	Key analysis
Quality of Earnings FY17 reported EBITDA of $828k increased to $1.3 million subsequent to Management and potential adjustments.	■ The table below summarizes EBITDA subsequent to potential adjustments for FY16 and FY17:	Pages 16-22

Quality of Earnings		
$'000	FY16	FY17
Net sales, reported	**17,644**	**17,941**
Total potential adjustments	-	(100)
Net sales, potentially adjusted	**17,644**	**17,841**
EBITDA, reported	**(636)**	**828**
Total Management adjustments	1,410	1,293
EBITDA, Management adjusted	**774**	**2,122**
Total potential adjustments	(505)	(801)
EBITDA, potentially adjusted	**269**	**1,321**
EBITDA margin, potentially adjusted	*1.5%*	*7.4%*
Total pro forma adjustments	257	-
EBITDA, pro forma adjusted	**526**	**1,321**
EBITDA margin, pro forma adjusted	*3.0%*	*7.4%*

Source: Management provided trial balances; KPMG analysis

■ Significant Management EBITDA adjustments in FY17 include the following:

– **Executive compensation:** Represents the $498k paid in compensation to Gustavo Szulansky, current owner of the Company.

– **Headcount changes:** Represents a run-rate impact of $370k in payroll compensation savings resulting from terminated positions in FY17 that were deemed redundant.

– **Regional losses:** Reversed $308k in EBITDA losses reported by new regional openings in DC, IL, PA and TX.

■ Significant potential EBITDA adjustments in FY17 include the following:

– **Reversal of regional losses:** EBITDA losses reported by DC, IL, PA and TX locations are considered to be part of normal course, and thus Management's adjustment of $308k has been reversed.

– **CEO compensation:** Represents the incoming CEO's salary, which is assumed to be $300k, given that the current CEO's compensation was added back as a Management adjustment.

– **Equipment sponsorship:** Represents reversal of $118k Management adjustment to record the unused portion of a sponsorship subsidy that was available in FY17.

– **Sponsorship cash contribution:** Represents removal of non-operational and non-recurring $100k cash contribution received from the Company's equipment sponsor.

Executive summary

Key findings (2/6)

Issue	Summary observations	Key analysis
Working capital The Company's average net working capital deficit for FY17 was $488k and remained at this level subsequent to potential adjustments.	■ The following table summarizes the reported and adjusted working capital as at 31-Dec-16 and 31-Dec-17: (see tables below)	Pages 27-29
Finance function and financial reporting	(see text below)	n.a.

Net working capital

	As at		Average	
$'000	**31-Dec-16**	**31-Dec-17**	**FY16**	**FY17**
Net working capital, reported	**(459)**	**(425)**	**(400)**	**(488)**
As % of TTM net sales	*(2.6%)*	*(2.4%)*	*(2.3%)*	*(2.7%)*
Total potential adjustments	-	38	16	13
Net working capital, potentially adjusted	**(459)**	**(387)**	**(384)**	**(475)**
As % of TTM net sales	*(2.6%)*	*(2.2%)*	*(2.2%)*	*(2.7%)*

Source: Management provided trial balances; KPMG analysis

Adjusted NWC seasonality

$'000	Minimum	Maximum	Range	Avg. NWC
FY16	(745)	50	795	(384)
FY17	(839)	(122)	717	(475)

Source: Management provided trial balances; KPMG analysis

Finance function and financial reporting

- The Company's accounting department is composed of the Director of Finance ("DoF"), an AR clerk, and occasionally an intern. The Company is in the process of hiring an AP clerk, a position which has only recently been vacant.
- No monthly closing procedures are performed aside from bank account reconciliations. "Soft" closes are completed quarterly and hard closes done annually, typically 45 days after each fiscal year-end. During the hard close process, the DoF will reconcile intercompany balances between the affiliates and undergo a balance sheet analysis. Financial statements are then given to the Company's external tax accountant, Raich Ende Malter & Co. LLP, who will in turn provide the DoF with the amount of depreciation that should be recorded.
- The Company maintains its accounting records using QuickBooks. According to Management, financial results are reported on an accrual basis. The Company's accrual accounting includes the following processes:
  - Accounts receivable is recorded when other organizations hire the Company's coaches to run their programs (i.e. under the "Organization" business model). The Company invoices customers of this nature either monthly or quarterly;
  - Accounts payable is recorded upon transacting with the Company's various vendors;
  - To the extent cash is received from players in the fiscal year prior to when the related soccer program is intended to run, the DoF will record deferred revenue. This deferred revenue will be recognized as revenue on January 1st of the following fiscal year; and
  - Prepaid rent is recorded if cash is paid for a facility/venue in the preceding year before that facility/venue is used by the Company. Prepaid rent is cleared out to the corresponding cost account the next fiscal year.

Executive summary
Key findings (3/6)

Issue	Summary observations	Key analysis
Data limitations As a result of limited financial information, we could not perform a detailed analysis of the TTM period nor could we create a meaningful program profitability analysis.	■ We were unable to perform a comprehensive analysis on the most recent year-to-date financial information due to the following factors: – As of the date of this report, we received revenue and payroll details to April 2018, but complete monthly trial balances were not provided; – According to Management, accrual accounting is followed at year-end only so that revenue and expenses are recorded in the proper fiscal year, but additional efforts are not undertaken to ensure the Company's monthly/quarterly statements reflect accrual accounting. Further, hard closes are only done annually. Therefore, to the extent results are provided for YTD FY18, they may not be meaningful to interpret and analyze; and – KPIs were not provided for YTD FY18. ■ We understand that Management does not actively assess the profitability of the Company by program. According to Management, this analysis has been performed historically, but only on an ad hoc basis and has not been prepared recently as at the date of this report. Further, inconsistent mapping of the general ledger's chart of accounts and caption misnomers have prevented us from re-creating this analysis.	n.a.
Legal considerations	■ As part of Management's initiative in FY17 to remove redundant positions, the Company terminated Employee 3, former Director of Coaching for the premier travel program, and Employee 5, former Business Development Director based in Chicago. According to Management, Employees 3 and 5 refused to sign termination letters at the time of termination and have not done so as of the date of our discussion. We recommend you seek indemnity against any future severance or legal costs that may need to be incurred should these ex-employees pursue the matter further. ■ We recommend your legal counsel consider the risks of claims relating to child injuries or inappropriate coach behaviors towards players.	n.a.

Executive summary

Key findings (4/6)

Issue	Summary observations	Key analysis
Cost structure of the business and significant cost savings realized in FY17 The Company reported a net loss of $788k in FY16 and net income of $644k in FY17. According to Management, the improvement in financial performance is attributable to initiatives implemented by an external consultant. You should consider the sustainability of these cost savings given the current senior management and ensure the Company's services are not diluted as a result.	■ Significant components of the Company's cost structure include salaries and wages paid to coaches and office employees (both management and administrative staff) as well as location-related costs (i.e. rent and facility fees). ■ Total expenses decreased by approximately $1.1 million from FY16 to FY17, the majority of these savings were realized in the aforementioned cost structure components. See the table below and the adjusted EBITDA bridge in Appendix 3 for these details:	Pages 24-25

Reported cost structure components

			YoY change + / (-)		*As % of revenue*	
$'000	**FY16**	**FY17**	**$**	**%**	***FY16***	***FY17***
Gross pay - Coaching	(5,461)	(5,308)	(153)	*(2.8%)*	*(31.0%)*	*(29.6%)*
Gross pay - Admin	(4,804)	(4,496)	(308)	*(6.4%)*	*(27.2%)*	*(25.1%)*
Location rent / facility fees	(1,643)	(1,195)	(447)	*(27.2%)*	*(9.3%)*	*(6.7%)*
Other expenses	(6,524)	(6,297)	(227)	*(3.5%)*	*(37.0%)*	*(35.1%)*
Total expenses	**(18,432)**	**(17,297)**	**(1,135)**	***(6.2%)***	***(104.5%)***	***(96.4%)***

Source: Management provided trial balances; KPMG analysis

■ According to Management, the cost savings were realized from initiatives implemented by an external consultant who the Company hired on an 18-month contract. The initiatives involved the following:

– A location-by-location analysis was undertaken to determine which classes had excess capacity and low coach-to-player ratios. Consequently, children were redistributed to other locations to improve these metrics thereby reducing both the number of coaches and venues/facilities required;

– Historically, coaches within the same "level" were paid equally regardless of if they were a lead instructor or an assistant. Effective 1-Sep-17, a tiered model was introduced whereby head coaches earned more than the assistant coaches. Management represents this facilitated in achieving lower coaching costs; and

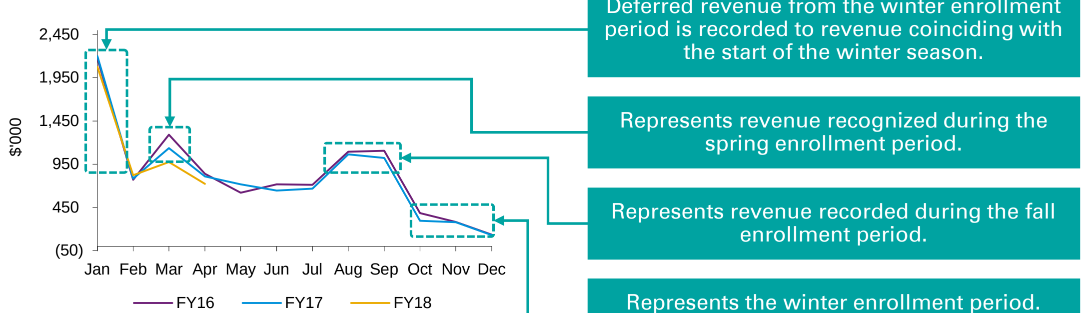
– Various employees assessed to be ineffective and/or whose positions were considered redundant were terminated from the Company.

■ The external consultant's contract ended in Dec-17. You should consider the organizational structure of the Company going forward and whether sufficient expertise is in place to sustain the realized cost savings.

■ Further, to the extent the Company continues to increase class sizes and employ fewer coaches, careful attention should be given to the quality of the various programs and ensure it is not compromised by the outcomes of the cost savings.

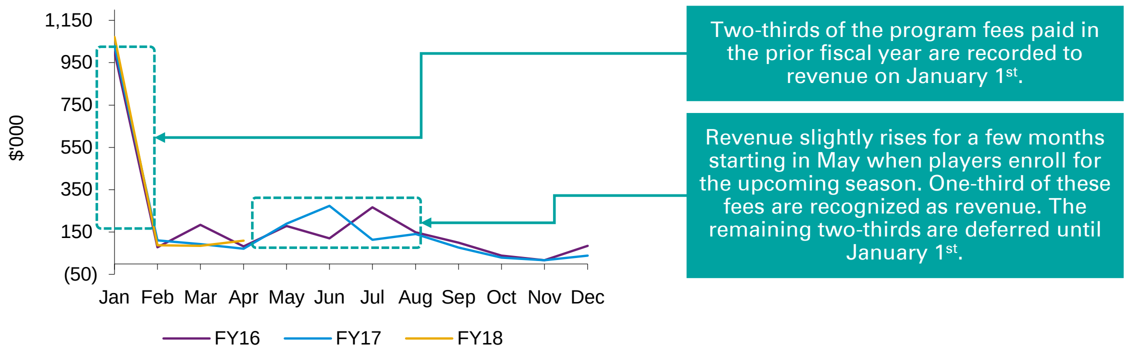
Executive summary

Key findings (5/6)

Issue	Summary observations	Key analysis
Revenue vs. cash cycle – Non-premier programs Revenue and cash cycles follow similar trends during the spring, summer, and fall programs: cash is collected from parents on behalf of the players and revenue is recorded. However, the winter program straddles two fiscal years from the time cash is first collected during the enrollment period to when the season starts. As such, revenue is deferred until the new fiscal year. Therefore, monthly results do not reflect true accrual accounting and any analysis performed on this basis may be unreliable.	■ The Company's non-premier programs (i.e. open enrollments for Kick & Play and Super Soccer Stars) take place on a seasonal basis. Typically, the enrollment period commences (i.e. the Company starts to collect cash from parents) a few months prior to any one season beginning. The following outlines the enrollment period relative to the corresponding season: – **Winter programs:** Enrollment occurs at the end of October / beginning of November; – **Spring programs:** Enrollment occurs at the end of February / beginning of March; – **Summer programs:** Enrollment occurs at the end of May / beginning of June; – **Fall programs:** Enrollment occurs at the end of August ■ According to Management, the winter and spring enrollment periods are the most popular and result in the highest revenues. Refer to the seasonality graph below, which presents FY16 and FY17 non-premier revenue in New York. **Non-premier revenue seasonality (New York)**  *Source: Management provided trial balances; KPMG analysis* *Note: Non-premier revenue excludes premier revenue and "other" revenue such as sponsorship income and clothing sales* ■ The seasonality exhibited in the graph above is consistent with Management's explanation of recording deferred revenue: that is, cash collected for a program starting the following fiscal year is deferred (i.e. during the winter enrollment) and cash collected in the same fiscal year as when the program takes place (i.e. during spring, summer, and fall enrollments) is recognized as revenue. This suggests annual results reflect accrual accounting whereas monthly and quarterly results do not. You should therefore be cognizant of analyzing YTD and TTM periods as the underlying data may be unreliable.	n.a.

DRAFT

Key findings (6/6)

Issue	Summary observations	Key analysis
Revenue vs. cash cycle – Premier programs Two-thirds of premier program fees are deferred until January 1st of the following fiscal year at which point they are recorded to revenue. As a result, YTD and TTM results do not reflect proper accrual accounting.	▪ The Company's premier programs (i.e. the development and travel teams) have seasons that start in September and typically end the following June. The enrollment period commences in early May at which point players are required to pay 100% of the program fees in advance of the upcoming season. ▪ We understand that one-third of these program fees are recognized as revenue when the cash is collected. The remaining two-thirds are deferred until they are recorded to revenue on January 1st of the following fiscal year. This trend is apparent in the graph below, which presents FY16 and FY17 premier revenue in New York. **Premier revenue seasonality (New York)**  *Source: Management provided trial balances; KPMG analysis* *Note: Premier revenue excludes non-premier revenue and "other" revenue such as sponsorship income and clothing sales* ▪ Similar to non-premier revenue, monthly premier revenue does not consistently follow accrual basis accounting. Therefore, analysis of the YTD and TTM periods may not be meaningful due to underlying data that is unreliable.	n.a.

Supporting analysis to key findings

Quality of Earnings analysis

Supporting analysis

Quality of Earnings (1/7)

Quality of Earnings		
$'000	**FY16**	**FY17**
Revenue, reported	17,644	17,941
Total potential adjustments	-	(100)
Revenue, potentially adjusted	**17,644**	**17,841**
Net income, reported	**(788)**	**644**
Add/(deduct)		
Interest, net	104	185
Depreciation & amortization	48	-
Income taxes	-	-
EBITDA, reported	**(636)**	**828**
EBITDA margin, reported	*(3.6%)*	*4.6%*
Total Management adjustments	**1,410**	**1,293**
EBITDA, Management adjusted	**774**	**2,122**
EBITDA margin, Management adjusted	*4.4%*	*11.9%*
Total potential adjustments	(505)	(801)
EBITDA, potentially adjusted	**269**	**1,321**
EBITDA margin, potentially adjusted	*1.5%*	*7.4%*
Total pro forma adjustments	257	-
EBITDA, pro forma adjusted	**526**	**1,321**
EBITDA margin, pro forma adjusted	*3.0%*	*7.4%*

Source: Management provided trial balances; KPMG analysis

The Quality of Earnings schedule above illustrates potential EBITDA adjustments and other factors to be considered which were identified for the fiscal years ended Dec-16 and Dec-17.

The proposed adjustments are not necessarily all-inclusive and are based on information provided by Management to date. Further analysis and access to additional information could uncover additional or different proposed adjustments.

Overview

- The quality of earnings analysis is prepared based on the following sources of information:
  - Monthly management accounts;
  - Additional supporting information provided by Management; and
  - Discussions held with Management and Management's advisors
- The nature of adjustments included in the QofE analysis are as follows:
  - **Management adjustments***:* non-recurring costs and pro forma adjustments identified by Management;
  - **Potential adjustments***:* assessment of Management adjustments, and other non-recurring items identified during the course of our diligence; and
  - **Pro forma adjustments:** estimated adjustments required to reflect the run-rate EBITDA impact of recent changes to the business.

Supporting analysis

Quality of Earnings (2/7)

Quality of Earnings			
$'000		FY16	FY17
Revenue, reported		17,644	17,941
Total potential adjustments		-	(100)
Revenue, potentially adjusted		**17,644**	**17,841**
Net income, reported		**(788)**	**644**
Add/(deduct)			
Interest, net		104	185
Depreciation & amortization		48	-
Income taxes		-	-
EBITDA, reported		**(636)**	**828**
EBITDA margin, reported		*(3.6%)*	*4.6%*
Management adjustments			
1	Regional losses	396	308
2	Equipment sponsorship	-	118
3	Executive compensation	871	498
4	Headcount changes	142	370
Total Management adjustments		**1,410**	**1,293**
EBITDA, Management adjusted		**774**	**2,122**
EBITDA margin, Management adjusted		*4.4%*	*11.9%*
Total potential adjustments		(505)	(801)
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Total pro forma adjustments		257	-
EBITDA, pro forma adjusted		**526**	**1,321**
EBITDA margin, pro forma adjusted		*3.0%*	*7.4%*

Other consideration			
a)	CFO/VP Finance compensation	(150)	(150)

Source: Management provided trial balances; KPMG analysis

Management adjustments

The following are adjustments to EBITDA identified by Management.

1. **Regional losses:** Represents net EBITDA loss reported by DC, IL, PA and TX regions. Refer to Potential Adjustment #5 for more details.

2. **Equipment sponsorship:** Starting Jun-17, the Company entered into a 2 year sponsorship agreement with Cappelli Sport Finance. Under this agreement, the Company received $200k per year product subsidy that can be utilized for equipment such as coach uniforms, after-school child t-shirts, and other branded equipment. Over the course of FY17, the Company utilized $82.2k of this subsidy. Management proposed an adjustment to include the unused portion of the subsidy in the amount of $118k to represent the full savings that may be achieved should the Capella subsidy be exhausted. Refer to Potential adjustment #7 for further details.

3. **Executive compensation:** Represents compensation paid to Gustavo Szulansky, current owner of the Company as these expenses will not continue post transaction. Refer to potential adjustment #6 for the current owner's replacement cost estimates. Refer to appendix 12 for details on senior leadership compensation.

Executive compensation		
$'000	FY16	FY17
Gross pay	844	428
Benefits	28	70
Total add-back	**871**	**498**

Source: Management provided EBITDA adjustments; KPMG analysis

4. **Headcount changes:** Represents run-rate impact of employee headcount changes made during FY17 based on Management's assessment to streamline operations and remove redundant positions. Note that this adjustment represents the net EBITDA impact of eliminating these positions, and accounts for any promotions granted to other employees to absorb additional responsibilities. Refer to details on the following page.

Supporting analysis
Quality of Earnings (3/7)

Quality of Earnings		
$'000	**FY16**	**FY17**
Revenue, reported	17,644	17,941
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EBITDA margin, potentially adjusted	*1.5%*	*7.4%*
Total pro forma adjustments	257	-
EBITDA, pro forma adjusted	**526**	**1,321**
EBITDA margin, pro forma adjusted	*3.0%*	*7.4%*
Other consideration		
a) CFO/VP Finance compensation	(150)	(150)

Source: Management provided trial balances; KPMG analysis

Management adjustments (continued)

4. **Headcount changes (continued):** the following table details out the employees terminated

Headcount changes		
$'000	**FY16**	**FY17**
a. Employee 1	-	190
b. Employee 2	-	38
c. Employee 3	45	45
d. Employee 4	60	60
e. Employee 5	37	37
Total headcount changes	**142**	**370**

Source: Management provided EBITDA adjustments; KPMG analysis

a. **Employee 1:** Represents an external consultant engaged for an 18-month period, ending Dec-17 to perform data analytics and strategy work to streamline operations and save costs.

b. **Employee 2:** Former member of the three-person events coordinator team, and was one of two persons responsible for birthday parties. Employee 2 was terminated in Dec-17, and this represented a consolidation of the team to two people, due to slowing birthday party activity.

c. **Employee 3:** Former Director of Coaching for the Premier Travel program. Employee 3's duties were absorbed by two senior coaches, each of whom were given a $5k raise. Management stated that this change was made to increase access points for parents and players to two senior coaches rather than one.

d. **Employee 4:** Former Long Island business development coordinator, who was ineffective and was terminated. The BD activities for the tri-state area have now been merged into a single role out of NYC.

e. **Employee 5:** Employee 5 was a former business development coordinator and staff coach from Chicago. His responsibilities included new partnership acquisition, partnership coordination, and coaching. As his role was deemed redundant, his responsibilities were absorbed by an existing program associate, who was given a salary increase.

Supporting analysis

Quality of Earnings (4/7)

Quality of Earnings		
$'000	**FY16**	**FY17**
Revenue, reported	17,644	17,941
Adjustments		
1 Sponsorship cash contribution	-	(100)
Total potential adjustments	-	(100)
Revenue, potentially adjusted	**17,644**	**17,841**
Net income, reported	**(788)**	**644**
EBITDA, reported	**(636)**	**828**
EBITDA margin, reported	*(3.6%)*	*4.6%*
Total Management adjustments	**1,410**	**1,293**
EBITDA, Management adjusted	**774**	**2,122**
EBITDA margin, Management adjusted	*4.4%*	*11.9%*
Potential adjustments		
5 Regional losses	(396)	(308)
6 CEO compensation	(300)	(300)
7 Equipment sponsorship	-	(118)
8 Sponsorship cash contribution	-	(100)
9 Headcount changes	-	(15)
10 Non-recurring severance	-	4
11 Consulting fees	192	37
Total potential adjustments	(505)	(801)
EBITDA, potentially adjusted	**269**	**1,321**
EBITDA margin, potentially adjusted	*1.5%*	*7.4%*
Total pro forma adjustments	257	-
EBITDA, pro forma adjusted	**526**	**1,321**
EBITDA margin, pro forma adjusted	*3.0%*	*7.4%*
Other consideration		
a) CFO/VP Finance compensation	(150)	(150)

Source: Management provided trial balances; KPMG analysis

Potential adjustments

The following are potential adjustments to Management adjusted EBITDA identified during due diligence:

5. **Regional losses:** Negative EBITDA for FY17 for DC, IL PA and TX regions is due to these locations being new openings. Management expects a new location to achieve positive EBITDA within three years of opening. These EBITDA losses are considered to be part of normal course, and as such, this adjustment is made to reverse Management Adjustment #1.

6. **CEO compensation:** The role of the CEO is currently being executed by the current owner, Gustavo Szulansky. As all compensation given to Gustavo has been removed as part of Management adjustment #3, this amount represents the compensation for incoming CEO, Adam Geisler, assuming an annual salary of $300k. Refer to appendix 12 for details on senior leadership compensation.

7. **Equipment sponsorship:** Over FY17, the Company utilized $82.2k subsidy for equipment purchases, and proposed an adjustment for the remaining $118k that was available. Per the Cappelli agreement, the $200k subsidy is available to the Company as it is used, with no allowance provided for the unused amount. As such, this adjustment reverses Management adjustment #2 as this subsidy has not been utilized in FY17, and thus would not impact FY17 EBITDA.

8. **Sponsorship cash contribution:** As part of the Cappelli Sport Finance sponsorship agreement discussed above, the Company received a cash contribution of $100k, which was recorded as sponsorship revenue in FY17. While the Company will receive its second and final $100k cash contribution in Jul-18, this amount is considered non-operational and non-recurring going forward and has been adjusted.

Supporting analysis

Quality of Earnings (5/7)

Quality of Earnings		
$'000	**FY16**	**FY17**
Revenue, reported	17,644	17,941
Adjustments		
1 Sponsorship cash contribution	-	(100)
Total potential adjustments	-	(100)
Revenue, potentially adjusted	**17,644**	**17,841**
Net income, reported	**(788)**	**644**
EBITDA, reported	**(636)**	**828**
EBITDA margin, reported	*(3.6%)*	*4.6%*
Total Management adjustments	**1,410**	**1,293**
EBITDA, Management adjusted	**774**	**2,122**
EBITDA margin, Management adjusted	*4.4%*	*11.9%*
Potential adjustments		
5 Regional losses	(396)	(308)
6 CEO compensation	(300)	(300)
7 Equipment sponsorship	-	(118)
8 Sponsorship cash contribution	-	(100)
9 Headcount changes	-	(15)
10 Non-recurring severance	-	4
11 Consulting fees	192	37
Total potential adjustments	(505)	(801)
EBITDA, potentially adjusted	**269**	**1,321**
EBITDA margin, potentially adjusted	*1.5%*	*7.4%*
Total pro forma adjustments	257	-
EBITDA, pro forma adjusted	**526**	**1,321**
EBITDA margin, pro forma adjusted	*3.0%*	*7.4%*
Other consideration		
a) CFO/VP Finance compensation	(150)	(150)

Source: Management provided trial balances; KPMG analysis

Potential adjustments (continued)

9. **Headcount changes:** This adjustment represents true up of compensation changes per employee payroll details for headcount changes discussed in Management adjustment #4. Refer to Appendix 6 for the detailed calculation.

10. **Non-recurring severance**: Represents one-time severance amounts paid to employees terminated in FY17 as discussed in Management adjustment #4 (Employees 2 and 4). Per Management, no severance was paid to Employees 3 or 5, who both refused to sign the termination letter. Refer to Other Considerations for further details on the matter.

11. **Consulting fees:** Per discussion with Management, all consulting fees recorded over the Historical Period were non-recurring in nature. These fees primarily related to an external strategy consultant, as adjusted in Management adjustment 4a. Note that $27k in FY16 related to an external HR consultant engaged by the Company. This adjustment represents true up of total one-time consulting fees paid to reflect total consulting fees as reported in the PL.

KPMG

Supporting analysis

Quality of Earnings (6/7)

Quality of Earnings			
$'000		FY16	FY17
Revenue, reported		17,644	17,941
Total potential adjustments		-	(100)
Revenue, potentially adjusted		**17,644**	**17,841**
Net income, reported		**(788)**	**644**
EBITDA, reported		**(636)**	**828**
EBITDA margin, reported		*(3.6%)*	*4.6%*
Total Management adjustments		**1,410**	**1,293**
EBITDA, Management adjusted		**774**	**2,122**
EBITDA margin, Management adjusted		*4.4%*	*11.9%*
Total potential adjustments		(505)	(801)
EBITDA, potentially adjusted		**269**	**1,321**
EBITDA margin, potentially adjusted		*1.5%*	*7.4%*
Pro forma adjustments			
12	Gross coaching costs	78	-
13	Location rent / facility fees	179	-
Total pro forma adjustments		257	-
EBITDA, pro forma adjusted		**526**	**1,321**
EBITDA margin, pro forma adjusted		*3.0%*	*7.4%*

Other consideration			
a)	CFO/VP Finance compensation	(150)	(150)

Source: Management provided trial balances; KPMG analysis

Pro forma adjustments

The following changes were made to the Company based on strategic recommendations provided by the external consultant employed by the Company from Jul-16 to Dec-17. As these initiatives were implemented starting Sep-16, the full year run-rate impact of changes was reflected in FY17 reported numbers.

12. **Gross coaching costs:** Gross coaching costs per full time equivalent coach declined from $59.5k per coach in FY16 to $58.1k per coach in FY17, representing a $1.3k per coach cost saving. This resulted in a pro-forma coaching cost saving of $78k in FY16.

13. **Location rent / facility fees:** Location rent costs improved from $490 per class in FY16 to $460 per coach in FY17, representing a $30 cost saving per class. This resulted in a pro-forma location rent fee saving of $127k in FY16.

Pro forma adjustments		
$'000	FY16	FY17
12. Gross coaching costs		
Total coaching costs	(3,465)	(3,214)
Number of FTE coaches[1]	58	55
Coaching costs per FTE coach	**(59.47)**	**(58.13)**
Cost saving	1.34	
Pro-forma impact	**78**	
13. Location rent / facility fees		
Total facility fees	(1,792)	(1,398)
Number of classes	3,647	3,161
Facility fee per class	**(0.49)**	**(0.44)**
Cost saving	0.05	
Pro forma impact	**179**	

Source: Management provided trial balances; KPMG analysis

[1] Represents a five-quarter average

Supporting analysis

Quality of Earnings (7/7)

Quality of Earnings		
$'000	**FY16**	**FY17**
Revenue, reported	17,644	17,941
Total potential adjustments	-	(100)
Revenue, potentially adjusted	**17,644**	**17,841**
Net income, reported	**(788)**	**644**
EBITDA, reported	**(636)**	**828**
EBITDA margin, reported	*(3.6%)*	*4.6%*
Total Management adjustments	**1,410**	**1,293**
EBITDA, Management adjusted	**774**	**2,122**
EBITDA margin, Management adjusted	*4.4%*	*11.9%*
Total potential adjustments	(505)	(801)
EBITDA, potentially adjusted	**269**	**1,321**
EBITDA margin, potentially adjusted	*1.5%*	*7.4%*
Total pro forma adjustments	257	-
EBITDA, pro forma adjusted	**526**	**1,321**
EBITDA margin, pro forma adjusted	*3.0%*	*7.4%*
Other consideration		
a) CFO/VP Finance compensation	(150)	(150)

Source: Management provided trial balances; KPMG analysis

Other consideration

a) **CFO/VP Finance compensation:** Per discussion with Management, the business currently does not employ an executive who oversees the Company's finances (such as a Chief Financial Officer or VP Finance) and has relied on an external consultant over the Historical Period to act as an interim CFO. Consideration should be given to run-rate compensation costs for a position of this seniority, given termination of the external consultant's contract in Dec-17.

Supporting analysis to key findings

Other analysis

Supporting analysis

Key performance indicators (1/2)

The adjacent tables present the number of children by season that are enrolled across the New York programs.

From 2015 to 2017, the total number of children enrolled in the New York soccer programs decreased from 24,258 to 22,316, respectively.

Management attributes this decline to a lack of business development in New York, absent marketing efforts, and a shift in strategy from Open to Closed enrollments.

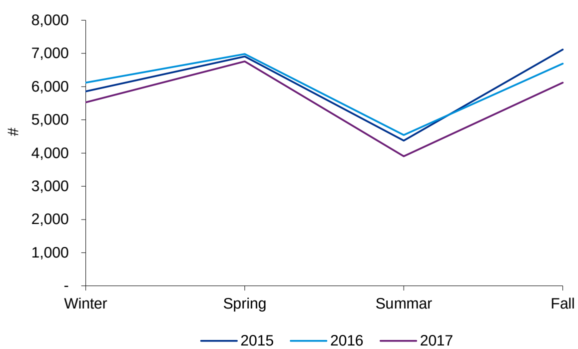
# of children (New York)

	Winter			Spring			Summer			Fall			Total		
Program	**2015**	**2016**	**2017**	**2015**	**2016**	**2017**	**2015**	**2016**	**2017**	**2015**	**2016**	**2017**	**2015**	**2016**	**2017**
Open	3,851	3,606	3,487	4,431	4,428	4,257	1,282	1,378	1,194	4,063	3,833	3,806	13,627	13,245	12,744
PVT	477	398	300	1,039	849	774	263	232	270	865	711	688	2,644	2,190	2,032
K&P	156	272	163	247	321	357	385	391	355	421	340	334	1,209	1,324	1,209
Camps	463	749	564	231	345	317	2,020	2,145	1,849	725	854	428	3,439	4,093	3,158
Prem Dev	576	633	500	595	562	528	424	397	237	555	439	381	2,150	2,031	1,646
Prem Trav	334	465	514	365	479	527	-	-	-	490	519	486	1,189	1,463	1,527
Total	**5,857**	**6,123**	**5,528**	**6,908**	**6,984**	**6,760**	**4,374**	**4,543**	**3,905**	**7,119**	**6,696**	**6,123**	**24,258**	**24,346**	**22,316**
# of coach FTEs (quarterly average)														58	55
Children per coach FTE														**418**	**404**

Source: Target KPIs; payroll registers; KPMG analysis

According to Management, the decrease in enrollment is a function of (i) ineffective business development execution (i.e. limited expansion opportunities into new locations and regions); (ii) lack of marketing efforts; and (iii) a shift in strategy from targeting Open to Closed enrollments.

# of children (New York)



Source: Target KPIs; payroll registers; KPMG analysis

The number of children per FTE coach decreased from 418 in FY17 to 404 in FY16. This change is a function of the number of enrollments as well as the number of FTE coaches.

The decrease in the Premier Development program is partially offset by the increase in the Premier Travel program. According to Management, this relationship is a function of US Soccer shifting from school-year to calendar year for the age groupings of teams in FY16.

Supporting analysis

Key performance indicators (2/2)

DRAFT

The adjacent tables present the number of active classes by season across the New York programs.

The total number of active classes in New York increased from 3,302 in 2015 to 3,647 in 2016 and subsequently decreased to 3,161 in 2017.

Management attributes the decline from 2016 to 2017 to "consolidation" efforts allowing the Company to reduce the number of locations, and therefore classes, it uses.

# of active classes (New York)

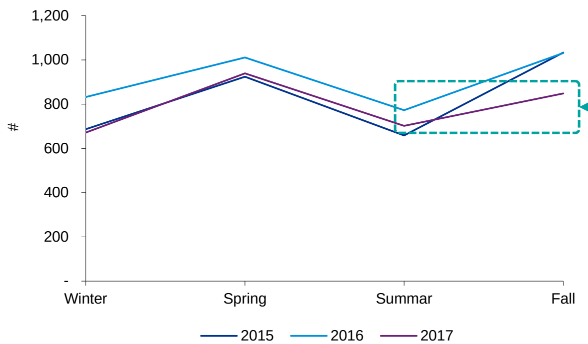
	Winter			Spring			Summer			Fall			Total		
Program	**2015**	**2016**	**2017**	**2015**	**2016**	**2017**	**2015**	**2016**	**2017**	**2015**	**2016**	**2017**	**2015**	**2016**	**2017**
Open	445	499	410	604	678	595	258	295	217	591	589	513	1,898	2,061	1,735
PVT	66	55	43	151	109	101	52	44	46	124	98	94	393	306	284
K&P	26	54	34	38	55	70	64	73	89	73	63	65	201	245	258
Camps	60	103	83	38	57	67	272	349	338	132	170	81	502	679	569
Prem Dev	59	72	61	66	76	68	12	12	12	77	73	58	214	233	199
Prem Trav	31	49	41	27	36	38	-	-	-	36	38	37	94	123	116
Total	**687**	**832**	**672**	**924**	**1,011**	**939**	**658**	**773**	**702**	**1,033**	**1,031**	**848**	**3,302**	**3,647**	**3,161**
# of coach FTEs (quarterly average)														58	55
Classes per coach FTE														**63**	**57**

Source: Target KPIs; payroll registers; KPMG analysis

The number of active classes per FTE coach decreased from 63 in FY17 to 57 in FY16 despite the number of FTE coaches decreasing from 58 to 55 during the same time period.

Please see Appendix 7 for an FTE analysis.

# of active classes (New York)



Source: Target KPIs; payroll registers; KPMG analysis

According to Management, the decrease in the number of active classes is a direct result of "consolidation" efforts in reducing the number of facilities rented. We understand the Company performed a location-by-location analysis in the fall of 2016 to determine classes with excess capacity. Consequently, children were redistributed and classes were combined resulting in the use of fewer facilities and active classes.

The impact of this initiative is more evident subsequent to summer 2017 as presented in the adjacent seasonality graph.

Supporting analysis

Stratified balance sheet

The adjacent table presents the Company's net liability position segregated into its components as at 31-Dec-17.

The Company's combined net liability position as at 31-Dec-17 was $3 million, mainly composed of AR, AP, and deferred revenue.

Refer to the following pages for further details on the Company's net working capital and net debt.

Stratified balance sheet

$'000	As at 31-Dec-16	As at 31-Dec-17	As at 31-Dec-17 NWC	As at 31-Dec-17 Net debt	As at 31-Dec-17 Infra-structure
Assets					
Cash	144	135	-	135	-
Accounts receivable	475	417	417	-	-
Other current assets	109	297	189	108	-
Current assets	728	849	606	243	-
Fixed assets	329	358	-	-	358
Other non-current assets	2,151	2,875	60	2,801	13
Total assets	**3,208**	**4,081**	**666**	**3,044**	**371**
Liabilities & equity					
Accounts payable	(809)	(769)	(769)	-	-
Credit cards payable	(186)	(279)	(279)	-	-
Other current liabilities	(5,356)	(5,459)	(43)	(5,416)	-
Current liabilities	(6,350)	(6,507)	(1,091)	(5,416)	-
Long term liabilities	(394)	(580)	-	(580)	-
Total liabilities	**(6,744)**	**(7,087)**	**(1,091)**	**(5,996)**	**-**
Net assets / (liabilities)	**(3,537)**	**(3,006)**	**(425)**	**(2,951)**	**371**

Source: Management provided trial balances; KPMG analysis

Prepaid rent for facilities where the Company holds its classes.

Undeposited funds, which represent a timing difference from when the Company receives customer checks/credit card payments to the time of bank processing.

The majority of this balance relates to leasehold improvements. Other fixed assets includes furniture & fixtures and computer hardware.

The Company created a small indoor soccer field in a Long Island office and capitalized the costs as leasehold improvements. Management represents the agreement with the lessor of the office was terminated and the asset will be written off prior to closing.

Mainly relates to intercompany receivable balances.

Other current liabilities include deferred revenue, bank debt (i.e. loans and a line of credit), and intercompany payable balances.

Long term liabilities include additional intercompany payables.

Supporting analysis

Net working capital (1/3) - Overview

Average reported net working capital for FY17 was in a deficit position of approximately $488k.

Subsequent to potential adjustments, the average net working capital deficit decreased to $475k.

Average balances presented in the adjacent table may not be reliable given the absence of "hard" monthly and quarterly closing procedures. Refer to further discussion within the Key Findings section of the report.

Net working capital

$'000	As at 31-Dec-16	As at 31-Dec-17	Average FY16	Average FY17
Current assets				
Accounts receivable	475	417	454	441
Prepaid rent & other current assets	26	189	16	55
Security deposits	53	60	55	59
Total current assets	**554**	**666**	**525**	**555**
Current liabilities				
Accounts payable	(809)	(769)	(681)	(808)
Credit cards payable	(186)	(279)	(222)	(211)
Other current liabilties	(18)	(43)	(22)	(25)
Total current liabilities	**(1,013)**	**(1,091)**	**(925)**	**(1,044)**
Net working capital, reported	**(459)**	**(425)**	**(400)**	**(488)**
As % of TTM net sales	*(2.6%)*	*(2.4%)*	*(2.3%)*	*(2.7%)*
Total potential adjustments	-	38	16	13
Net working capital, potentially adjusted	**(459)**	**(387)**	**(384)**	**(475)**
As % of TTM net sales	*(2.6%)*	*(2.2%)*	*(2.2%)*	*(2.7%)*

Source: Management provided trial balances; KPMG analysis

The above net working capital schedule summarizes potential adjustments to be considered for FY16 and FY17.

Such proposed adjustments are not deemed to be all inclusive. The validity of these potential adjustments and other factors raised for your consideration may require further investigation to understand the potential impact on your valuation model.

Overview

Net working capital consists of the following items:

[OPEN – Management to provide BS / WC update for the latest period in FY18]

- **Accounts receivable:** Amounts receivable from organizations that are part of the Company's "Organization" business model.
- **Prepaid rent & other current assets:** Mainly relates to future rent expense for class locations that are paid in the prior year of the rental period.
- **Security deposits:** Represents security deposits paid to the landlords of various class locations.
- **Accounts payable:** Includes trade AP to vendors. Refer to Appendix 8 for further details.
- **Credit cards payable:** Includes goods and services purchased from vendors on the Company's Citibank, American Express, and Chase credit cards.
- **Other current liabilities:** Mainly composed of payable balances for school permits to the Department of Education.

KPMG

Supporting analysis

Net working capital (2/3) - Potential adjustments

Net working capital				
	As at		Average	
$'000	31-Dec-16	31-Dec-17	FY16	FY17
Current assets				
Accounts receivable	475	417	454	441
Prepaid rent & other current assets	26	189	16	55
Security deposits	53	60	55	59
Total current assets	**554**	**666**	**525**	**555**
Current liabilities				
Accounts payable	(809)	(769)	(681)	(808)
Credit cards payable	(186)	(279)	(222)	(211)
Other current liabilties	(18)	(43)	(22)	(25)
Total current liabilities	**(1,013)**	**(1,091)**	**(925)**	**(1,044)**
Net working capital, reported	**(459)**	**(425)**	**(400)**	**(488)**
As % of TTM net sales	*(2.6%)*	*(2.4%)*	*(2.3%)*	*(2.7%)*
Potential adjustments				
1 Department of Education permits	-	38	-	13
2 Sep-16 payroll taxes paid in Oct-16	-	-	16	-
Total potential adjustments	-	38	16	13
Net working capital, potentially adjusted	**(459)**	**(387)**	**(384)**	**(475)**
As % of TTM net sales	*(2.6%)*	*(2.2%)*	*(2.2%)*	*(2.7%)*

Source: Management provided trial balances; KPMG analysis

Potential adjustment

The following net working capital adjustments were identified during due diligence:

1. **Department of Education permits:** The Company buys permits from the Department of Education (to run soccer classes in public schools) through Round Star Foundation ("RSF"), a charity under common ownership. According to Management, RSF pays the Department of Education immediately upon being invoiced and is in turn reimbursed by the Company. Therefore, the Company records a current liability until it reimburses RSF. On the basis the arrangement with RSF will not exist post-transaction and payment terms with the Department of Education persist, we have removed these payables from NWC.

2. **Sep-16 payroll taxes paid in Oct-16:** According to Management, payroll taxes for the second half of Sep-16 were not withdrawn from the Company's bank account until the beginning of Oct-16. As a result, a significant payroll accrual was recorded at 30-Sep-16. We have adjusted for this balance to reflect the Company's liabilities as if payroll taxes were remitted prior to the end of September.

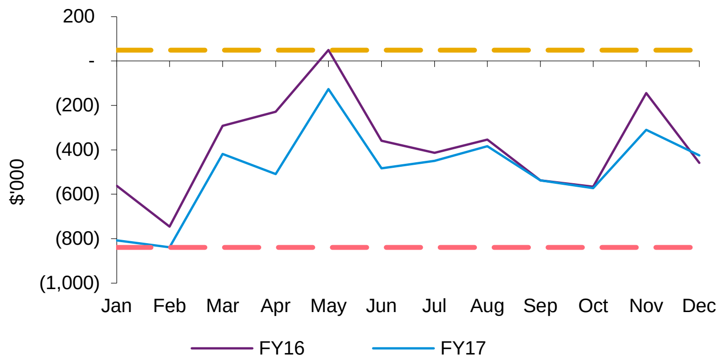
Net working capital (3/3) - Seasonality

DRAFT

In FY17, adjusted monthly working capital needs fluctuated by approximately $713k.

Trends presented in the adjacent tables and graphs may not be reliable given the absence of "hard" monthly and quarterly closing procedures. Refer to further discussion within the Key Findings section of the report.

Adjusted net working capital seasonality

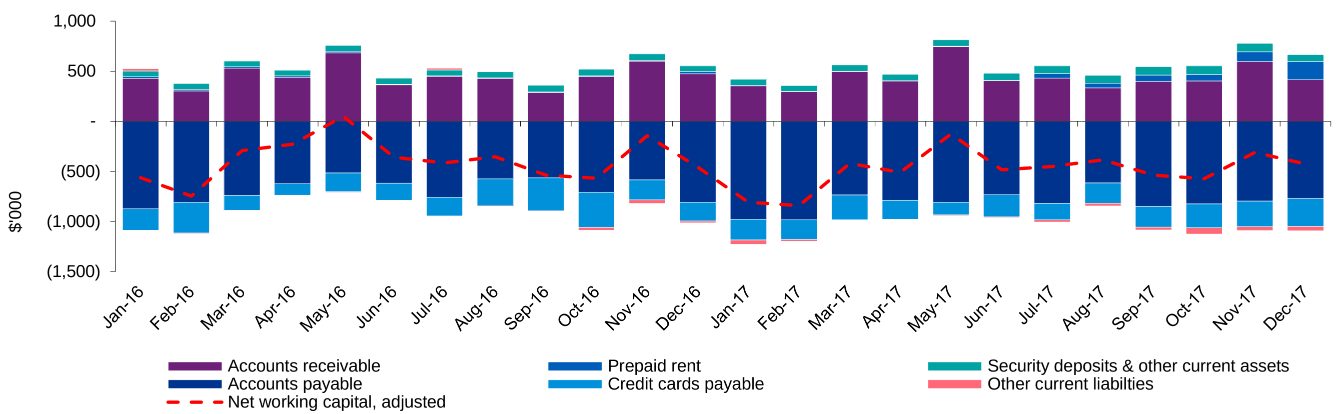


Source: Management provided trial balances; KPMG analysis

Adjusted NWC seasonality				
$'000	Minimum	Maximum	Range	Avg. NWC
FY16	(745)	50	795	(384)
FY17	(839)	(122)	717	(475)

Source: Management provided trial balances; KPMG analysis

Net working capital, adjusted



Source: Management provided trial balances; KPMG analysis

Supporting analysis

Net debt

Reported net debt as at 31-Dec-17 was $3.0 million composed mainly of deferred revenue and bank loans.

Net debt		
$'000	As at 31-Dec-17	On BS?
Cash & cash-like items		
Due from affiliates	2,485	✓
Loan to shareholder	200	✓
Cash	135	✓
Loan to RSF	114	✓
Undeposited funds	105	✓
Total cash & cash-like items	3,039	
Debt & debt-like items		
Deferred revenue	(2,462)	✓
Due to affiliates	(1,942)	✓
Bank loans	(1,586)	✓
Total debt & debt-like items	(5,990)	
Net (debt) / cash	**(2,951)**	

Source: Management provided trial balances; KPMG analysis

Potential adjustments

The following items compose reported net debt as at 31-Dec-17: **[OPEN – Management to provide updated BS information in FY18]**

- **Due from affiliates:** Intercompany receivables recorded in NY, MA, and FL.
- **Loan to shareholder:** No information was provided by Management on the nature of this account, but represents it will be written off prior to closing.
- **Cash:** Cash held in the Company's Citibank and Chase bank accounts. According to Management, $80k is restricted cash, which serves as a deposit for their office lease.
- **Loan to RSF:** Represents money advanced to Round Star Foundation (a charity owned by the current owners, for which the Company is the main contributor) to fund its disbursements and is non-operating in nature.
- **Undeposited funds:** Deposits (i.e. customer checks and credit card payments) in transit that have been received by the Company in QuickBooks, but have yet to be processed by the bank.
- **Deferred revenue:** Represents cash received from players in the fiscal year prior to when the related soccer program is intended to run. **[OPEN – Management to provide updated Deferred Revenue balance for the latest period available in FY18]**
- **Due to affiliates:** Intercompany payables across all regions. Refer to Appendix 9 for additional details.
- **Bank loans:** Relates to loans payable to AmEx Merchant Financing and On Deck Capital as well as a line of credit with Chase.

Appendices

1. Engagement letter procedures
2. Membership interests
3. Adjusted EBITDA bridge – FY16 to FY17
4. Adjusted revenue bridge – FY16 to FY17
5. Adjusted revenue bridge – YTD Apr-17 to YTD Apr-18
6. Headcount changes
7. Gross pay and FTE analysis
8. AP aging
9. Intercompany balances
10. Consolidating income statement (adjusted)
11. Consolidating balance sheet (reported)
12. Senior leadership compensation
13. NY admin gross pay by department
14. Historical capex
15. Other costs (adjusted)
16. Cash flow proof – NYC

Appendix 1

Engagement letter procedures (1/2)

Crossed out procedures were not performed due to data and information limitations. Refer to further discussions within the key findings of the report.

Financial due diligence

1. Overview:

Meet with Round Star's officers and management in order to develop an understanding of operations, including its:

a) Organization structure;
b) Historical growth by business/segment/geography;
c) Acquisition history and impact on run-rate EBITDA; and
d) Finance function, financial reporting framework and internal control environment.

2. Consistency of accounting policies:

Consider if the following accounting policies have been applied consistently within and across historical periods:

a) Revenue recognition;
b) Significant accounting estimates (e.g. allowance for doubtful accounts);
c) Capitalization policies;
d) Depreciation policies; and
e) Recent or contemplated changes in accounting principles, procedures or estimates and provisions.

3. Quality / sustainability of earnings:

Obtain details on Target's historical financial performance and propose potential adjustments to historical earnings before interest taxes, depreciation, amortization ("EBITDA") for FY16, FY17 and YTD18 by considering:

a) The impact of the normalization adjustments identified by Management, if any;
b) The impact of any changes to senior management or management team structure;
c) The impact of significant new location openings;
d) The impact of sponsorship agreements;
e) The impact of provisions, management estimates or adjusting entries on the reported results;
f) Any other unusual or non-recurring events or transactions that may have distorted results.

Supporting analyses to quality / sustainability of earnings

4. Revenue and profitability trends

Obtain revenue, profitability and comment on:

~~a) Revenue and profitability by program offering~~.
b) Impact of seasonality, if any;
c) Any non-recurring components of revenue; and
d) Cut off procedures.

Operating expenses

Obtain and read an analysis of expenses and inquire about:

a) Direct costs (coaching, equipment, facility rent);
b) Selling, general, and administrative expenses;
c) Human resource expenses;
d) Rent and utilities expense;
e) Historical operating expense trend as a % of revenue; and
f) Unusual and extraordinary items.

6. Working capital

a) Comment on working capital trends for the past 24 months;
b) Adjust working capital for any significant items which are considered to be non-recurring in nature;
c) Comment on the seasonality of working capital;
d) Comment on cash management procedures; and
e) Understand trade ratio trends (e.g. days payable outstanding).

Appendix 1

Engagement letter procedures (2/2)

Supporting analyses to working capital

7. Accounts receivable

Obtain and read an analysis of accounts receivable and inquire and comment on**:**

a) Trade and non-trade balances;
b) Aging analysis and turnover analysis; and
c) Allowance for uncollectible accounts and write-offs.

8. Other assets

Analyze a summary of other assets (including prepaid expenses) and comment on unusual items, significant fluctuations and significant balances.

9. Accounts payable, accrued compensation and liabilities

Obtain and read an analysis of accounts payable and accrued compensation and liabilities and inquire about:

a) Accounts payable aging and days outstanding;
b) Accrued liabilities;
c) Other current and non-current liabilities.

10. Capital expenditure and fixed assets

Obtain and read an analysis of historic and future capital cost requirements if any:

a) Historical, deferred, and planned capital expenditures;
b) Comment on carrying amount of PP&E and depreciation policy.

11. Net Debt

Identify and summarize debt and debt-like items. In addition, summarize historical debt and covenant ratios.

Additional Areas

12. Related Party Transactions

a) Inquire about and summarize related party transactions including:
b) Nature and extent of related party transactions; and
c) Basis of pricing for arrangements with related parties.

13. Commitments and Contingencies

Inquire about significant commitments and contingent liabilities including:

a) Off-balance sheet liabilities;
b) Purchase commitments;
c) Operating and capital leases;
d) Earn-out arrangements and commitments relating to previous acquisitions, if any;
e) Incentive compensation and employee benefit obligations;
f) Expected or contingent liabilities (e.g. environmental, litigation, regulatory and tax); and
g) Pending or threatened litigation or investigations

Appendix 2

Membership interests

Membership interests					
Name of entity / trade name	**Member**	***Membership interest***	**Country**	**State of formation**	**State of registered office**
Round Star, LLC	Gustavo Szulansky	*80.0%*	USA	DE	MA
	Sarah Natchez	*20.0%*			
Round Star Midwest, LLC	Gustavo Szulansky	*90.0%*	USA	DE	IL
	Sarah Natchez	*10.0%*			
Round Star Southeast, LLC	Gustavo Szulansky	*86.0%*	USA	DE	FL
	Fernando Verdugo	*1.0%*			
	Sarah Natchez	*10.0%*			
	Dean Simpson	*3.0%*			
Round Star West, LLC	Gustavo Szulansky	*89.0%*	USA	DE	CA
	Sarah Natchez	*10.0%*			
	Bob Gibson	*1.0%*			
Round Star DC, LLC	Gustavo Szulansky	*89.0%*	USA	DE	DC
	Sarah Natchez	*10.0%*			
	Peter Wortman	*1.0%*			
Round Star Pennsylvania, LLC	Gustavo Szulansky	*89.0%*	USA	DE	PA
	Sarah Natchez	*10.0%*			
	Annie Spaulding	*1.0%*			
Round Star Texas, LLC	Gustavo Szulansky	*89.0%*	USA	DE	TX
	Sarah Natchez	*10.0%*			
	Mark Nerkowski	*1.0%*			
Round Star UK LTD	Round Star International Limited[1]	*93.3%*	Malta		London, UK
	Dean Simpson	*3.3%*			
	Toby Tenenbaum	*3.3%*			
Round Star Talent International, LLC	Unknown				
Round Star, Inc.	Gustavo Szulansky	100%	USA	NY	NY
Super Soccer Stars					
Kick & Play					
Round Star Entertainment					

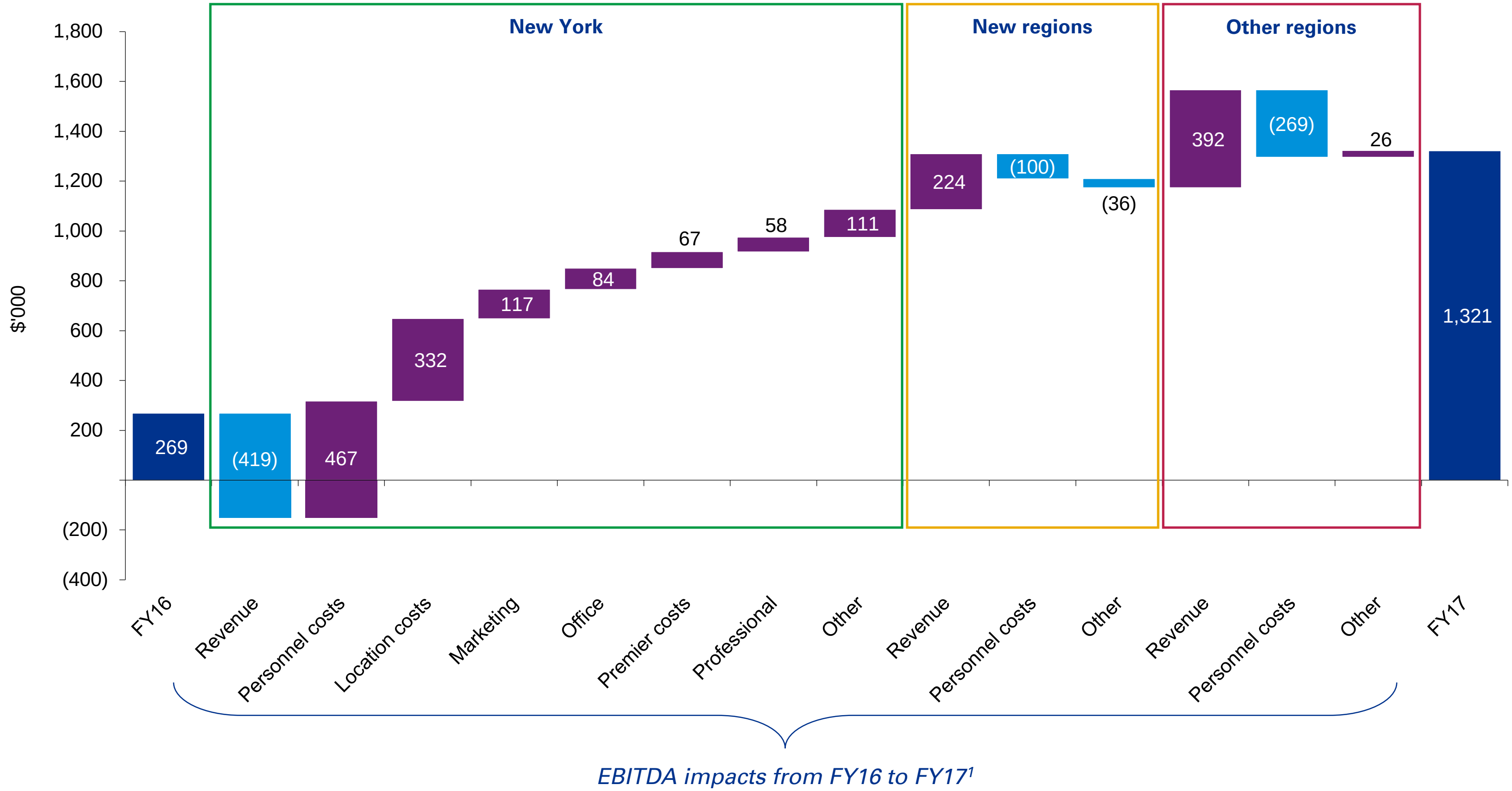
Source: Management provided membership interests

[1] Round Star International Limited is wholly owned by Round Star International Holding which is wholly owned by Gustavo Szulansky.

Appendix 3

Adjusted EBITDA bridge – FY16 to FY17

FY16 to FY17 adjusted EBITDA bridge, excl. pro forma adjustments

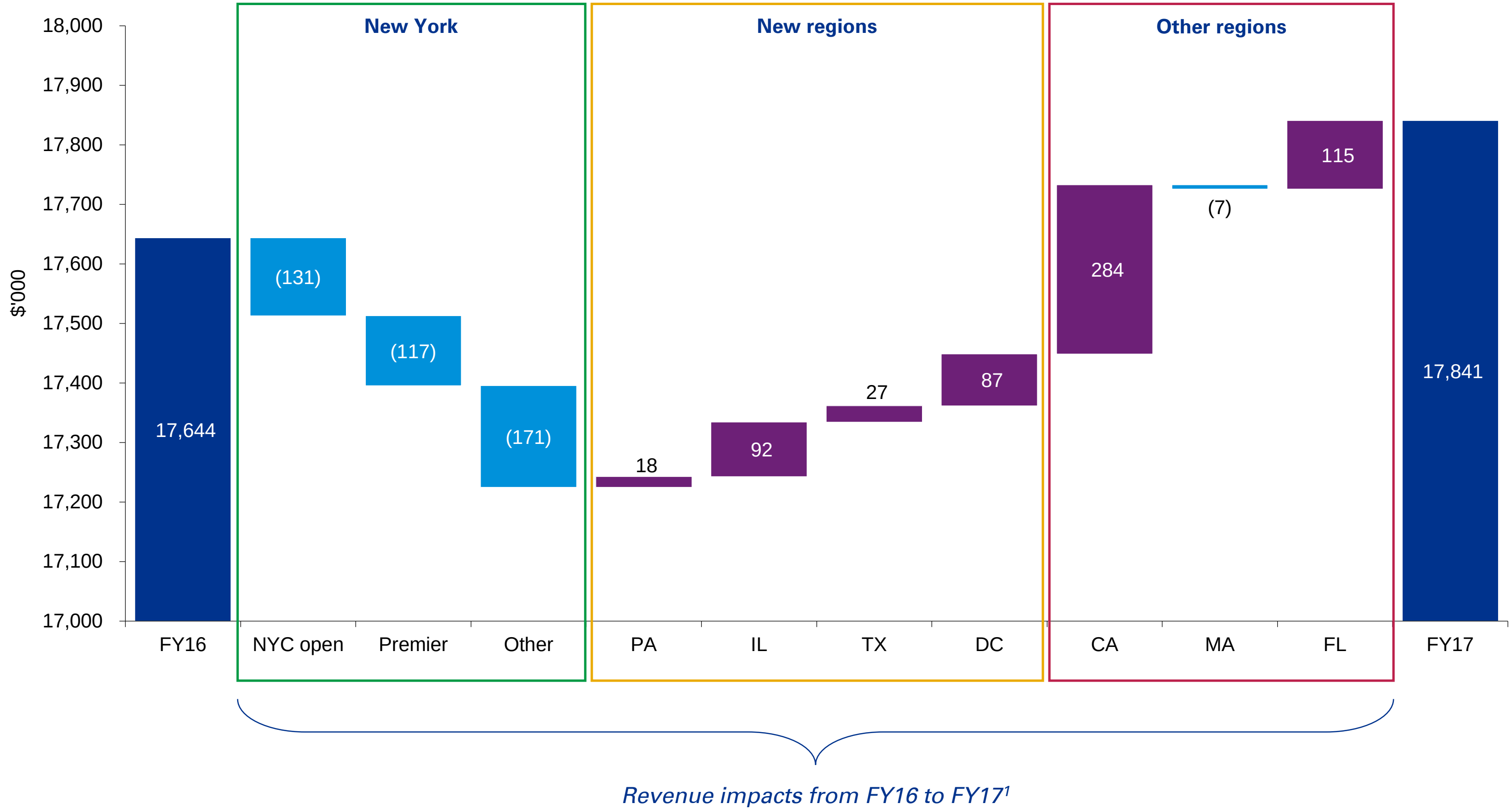


Source: Management provided trial balances; KPMG analysis

[1]Positive values represent changes that have positively impacted EBITDA from FY16 to FY17; Negative values represent changes that have negatively impacted EBITDA from FY16 to FY17

Appendix 4
Adjusted revenue bridge – FY16 to FY17

FY16 to FY17 revenue bridge, adjusted for one-time sponsorship revenue



Source: Management provided trial balances; KPMG analysis
[1]Positive values represent changes that have positively impacted revenue from FY16 to FY17; Negative values represent changes that have negatively impacted revenue from FY16 to FY17

Appendix 5
Adjusted revenue bridge – YTD Apr-17 to YTD Apr-18

YTD Apr-17 to YTD Apr-18 revenue bridge, adjusted for one-time sponsorship revenue

Source: Management provided trial balances; KPMG analysis
[1]Positive values represent changes that have positively impacted revenue from YTD Apr-17 to YTD Apr-18; Negative values represent changes that have negatively impacted revenue from YTD Apr-17 to YTD Apr-18

Appendix 6

Headcount changes

	Adjustment to Management adjustment #4	FY16	FY17	
Employee 2	Actual gross pay per payroll registers	-	(33)	
	Potential adjustment	**-**	**33**	
	Management adjustment #4b	-	38	
	True up to Management adj.	**-**	**(4)**	**A**
Employee 3	**Actual gross pay per payroll registers**			
	Employee 3, gross pay	-	(51)	
	Senior coach A, gross pay	-	(45)	
	Senior coach B, gross pay	-	(61)	
	Total actual gross pay per payroll registers	**-**	**(157)**	
	Normalized gross pay			
	Employee 3, no longer employed w ith the Company	-	-	
	Senior coach A, normalize to reflect $5k gross pay increase	-	(51)	
	Senior coach B, normalize to reflect $5k gross pay increase	-	(67)	
	Total normalized gross pay	**-**	**(118)**	
	Potential adjustment	**-**	**39**	
	Management adjustment #4c	-	45	
	True up to Management adj.	**-**	**(6)**	**B**
Employee 4	Actual gross pay per payroll registers	(60)	(55)	
	Potential adjustment	**60**	**55**	
	Management adjustment #4d	60	60	
	True up to Management adj.	**-**	**(5)**	**C**
	Total headcount changes adjustment	**-**	**(15)**	**=A+B+C**

Source: Management provided trial balances; KPMG analysis

Appendix 7

Gross pay and FTE analysis (1/2)

Gross pay and FTE analysis - New York			
$'000	**FY16**	**FY17**	**TTM Mar-18**
Gross pay			
Coaches	(3,465)	(3,214)	(3,192)
Admin	(2,517)	(2,442)	(2,367)
Total gross pay (excl. President)	**(5,982)**	**(5,655)**	**(5,559)**
FTEs			
Coaches	58	55	49
Admin	48	45	43
Total FTEs	**106**	**100**	**92**
Gross pay per FTE			
Coaches	(59)	(58)	(65)
Admin	(53)	(54)	(55)
Average gross pay per FTE	**(56)**	**(56)**	**(60)**

Source: Management provided trial balances; payroll registers; KPMG analysis
*[1]FTEs in any one particular month = total hours charged in the month per payroll registers / (# of business days in the month * 8 hours per day)*

The adjacent analysis presents the average gross pay per FTE in New York excluding the Company's president.

Gross pay per FTE remained relatively consistent from FY16 to FY17 at $56k and increased to $60k in TTM Mar-18. This change is mainly driven by an increase in gross pay paid to coaches.

These FTE figures represent trailing five quarter averages (e.g. 100 FTEs in FY17 represents the average FTEs from Dec-16, Mar-17, Jun-17, Sep-17, and Dec-17).

Refer to the next page for an example of how the 43 admin FTEs figure was calculated for TTM Mar-18.

Appendix 7

Gross pay and FTE analysis (2/2)

Mar-18 hours per payroll registers						
Title	**Hours**	**Employee type**	**Region**	**Status**	**Level**	**Gross pay ($)**
Social Media Content Coordinator	88	HOURLY OFFICE	NY	Part-time, avg. 15 hrs/wk	Coordinator	2,024
Customer Service Coordinator	10	HOURLY OFFICE	NY	Full-time	Coordinator	180
Weekend Coordinator & Staffing Assistant	67	HOURLY OFFICE	NY	Part-time, avg. 16 hrs/wk	Coordinator	1,541
Customer Service Specialist	36	HOURLY OFFICE	NY	30-40 hrs/wk, temp-to-perm	Associate	648
Not provided	145	HOURLY OFFICE	n.p.	Not provided	Not provided	2,898
Customer Service Specialist	157	HOURLY OFFICE	NY	30-40 hrs/wk, temp	Associate	2,356
Staffing Supervisor	174	OFFICE SALARIED	NY	Full-time	Supervisor	4,167
Program Administrator, Stars Premier	174	OFFICE SALARIED	NY	Full-time	Coordinator	3,333
Birthday Party Coordinator	174	OFFICE SALARIED	NY	Full-time	Coordinator	4,167
Staffing Coordinator	174	OFFICE SALARIED	NY	Full-time	Coordinator	3,542
Not provided	174	OFFICE SALARIED	n.p.	Not provided	Not provided	3,417
Camps & Events Coordinator	159	OFFICE SALARIED	NY	Full-time	Coordinator	3,048
Regional Communications Manager	174	OFFICE SALARIED	NY	Full-time	Manager	4,583
Customer Service Manager	143	OFFICE SALARIED	NY	Full-time	Manager	4,084
Regional Supervisor	174	OFFICE SALARIED	Westchester	Full-time	Supervisor	4,500
Program Coordinator, Stars Premier	174	OFFICE SALARIED	NY	Full-time	Supervisor	3,917
Not provided	16	OFFICE SALARIED	n.p.	Not provided	Not provided	320
Club Manager, NY Stars Premier	174	OFFICE SALARIED	NY	Full-time	Manager	4,250
Partnerships & Private Groups Coordinator	174	OFFICE SALARIED	NY	Full-time	Coordinator	3,167
Equipment Coordinator	174	OFFICE SALARIED	NY	Full-time	Coordinator	3,417
Kick & Play Coordinator	174	OFFICE SALARIED	NY	Full-time	Coordinator	3,708
Coaching Supervisor	221	OFFICE SALARIED	NY	Full-time	Supervisor	6,228
Regional Supervisor	174	OFFICE SALARIED	Long Island	Full-time	Supervisor	4,292
Coaching Manager	174	OFFICE SALARIED	NY	Full-time	Manager	5,833
Chief Operating Officer	174	OFFICE SALARIED	NY	Full-time	Executive	15,000
Director of Strategy	174	OFFICE SALARIED	NY	Full-time	Director	9,167
Partnerships Supervisor	174	OFFICE SALARIED	NY	Full-time	Supervisor	4,583
Coaching Coordinator	174	OFFICE SALARIED	Westchester	Full-time	Coordinator	3,958
Customer Service Specialist	174	OFFICE SALARIED	NY	Full-time	Associate	2,833
Coaching Coordinator	174	OFFICE SALARIED	NY	Full-time	Coordinator	3,750
Staff	174	OFFICE SALARIED	NY	Full-time	Coordinator	3,333
Office & Customer Service Supervisor	174	OFFICE SALARIED	NY	Full-time	Supervisor	4,042
Chief Programs Officer	174	OFFICE SALARIED	NY	Full-time	Executive	12,500
Travel Team Coordinator, NY Stars Premier	174	OFFICE SALARIED	NY	Full-time	Coordinator	3,333
General Manager	174	OFFICE SALARIED	NY	Full-time	Senior Director	8,333
Finance Coordinator	174	OFFICE SALARIED	NY	Full-time	Associate	2,667
Managing Director, Stars Premier	174	OFFICE SALARIED	NY	Full-time	Director	9,167
Equipment Assistant	130	OFFICE SALARIED	NY	Full-time	Associate	2,333
Travel Team Supervisor, NY Stars Premier	174	OFFICE SALARIED	NY	Full-time	Supervisor	5,583
Marketing Coordinator	40	OFFICE SALARIED	NY	Full-time	Coordinator	767
Director of Finance	174	OFFICE SALARIED	NY	Full-time	Director	8,750
Customer Service Specialist	174	OFFICE SALARIED	Westchester	Full-time	Associate	3,460
Weekend Coordinator	-	Part-time Salaried	Westchester	Part-time, avg. 20 hrs/wk	Associate	900
Total in Mar-18	**6,426**	A				**183,179**
No. of business days in Mar-18	21	B				
Hours per day	8	C				
Total business hours in Mar-18	168	D = B*C				
Admin FTEs in Mar-18	**38**	= A / D				

Source: Payroll registers; KPMG analysis

The table below illustrates how the 43 admin FTEs figure was calculated on the previous page.

The adjacent table presents employee payroll register details from Mar-18 in order to illustrate how the 38 admin FTEs figure was calculated for this month (i.e. one of the inputs used to determine the 43 admin FTEs).

Admin FTE trailing five quarter average Mar-18						
	Mar-17	**Jun-17**	**Sep-17**	**Dec-17**	**Mar-18**	**Trailing five quarter average Mar-18**
Admin FTEs	43	45	45	43	38	43

Appendix 8
AP aging

AP aging as at 31-Dec-17							
$'000	Current	0-30 days	31-60 days	61-90 days	>90 days	Total	% of total
Top 25 NY vendors							
Cappelli	9	28	76	19	-	132	*17.2%*
Sunbright Transportation LLC (bus)	27	43	-	-	-	71	*9.2%*
Grenadier Realty Corp	69	-	-	-	-	69	*9.0%*
All Souls Church (ALS)	18	18	-	-	-	37	*4.8%*
Temporary Staffing by Suzanne, LTD.	2	3	5	7	-	17	*2.2%*
Ligas Competition	1	1	1	1	13	15	*2.0%*
Hartford	13	-	-	-	-	13	*1.7%*
Great West Retirement Services	-	10	-	-	-	10	*1.3%*
Greenville Community Church (GCC)	9	-	-	-	-	9	*1.2%*
Plymouth Church of The Pilgrims (PLY)	2	2	3	2	0	9	*1.2%*
All Angel's Church (AAC)	-	3	5	-	-	8	*1.0%*
St. Francis Xavier (SFX)	8	-	-	-	-	8	*1.0%*
T-Mobile	3	3	-	-	-	6	*0.8%*
merchant Bankcard Interchng	6	-	-	-	-	6	*0.8%*
Upper 90 Soccer (LIR, BKLYN, QNS))	5	-	-	-	-	5	*0.7%*
Nervus Consulting	5	-	-	-	-	5	*0.6%*
Raich Ende Malter & Co. LLP	-	2	2	-	-	5	*0.6%*
Morris & McVeigh LLP	1	0	-	1	3	4	*0.6%*
Fross Zelnick, Lehrman & Zissu, P.C.	-	4	-	-	-	4	*0.6%*
Carol Shoke Early Childhood Center (TEC)	2	2	-	-	-	4	*0.5%*
ADP Payroll Services	4	-	-	-	-	4	*0.5%*
Nathan Meagher	2	1	-	-	-	4	*0.5%*
Boys and Girls Club of N. Westchstr (BGC)	4	-	-	-	-	4	*0.5%*
The Jewish Center (JWC)	3	-	-	-	-	3	*0.4%*
Marymount School (MAR)	-	3	-	-	-	3	*0.4%*
Top 25 NY vendors	**196**	**126**	**91**	**29**	**16**	**457**	***59.4%***
Other NY vendors	44	10	5	7	6	71	*9.3%*
Total NY AP	**240**	**136**	**96**	**36**	**22**	**529**	***68.7%***
CA	40	5	1	1	23	69	*9.0%*
MA	14	6	-	6	8	34	*4.5%*
FL	9	3	3	5	32	52	*6.7%*
PA	1	1	1	2	0	5	*0.7%*
IL	23	3	5	2	18	51	*6.7%*
TX	1	-	-	0	1	2	*0.3%*
DC	16	2	-	1	7	27	*3.5%*
Total AP across all regions	**345**	**157**	**105**	**52**	**111**	**769**	***100.0%***

Source: Management provided trial balances; KPMG analysis

The adjacent table presents the Company's AP aging schedule as at 31-Dec-17 including details of the top 25 NY vendors.

Note that the largest supplier, Cappelli, relates to equipment purchases whereas many of the other vendors are for location rentals.

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Appendix 9

Intercompany balances

Intercompany balances

$'000	As at 31-Dec-16 NY	CA	MA	FL	PA	IL	TX	DC	Total	As at 31-Dec-17 NY	CA	MA	FL	PA	IL	TX	DC	Total
Intercompany assets																		
Due from affiliate	1,431	-	-	-	-	-	-	-	1,431	1,906	-	-	-	-	-	-	-	1,906
Loan to affiliate	-	-	251	143	-	-	-	-	394	-	-	382	197	-	-	-	-	580
Total intercompany assets	**1,431**	**-**	**251**	**143**	**-**	**-**	**-**	**-**	**1,825**	**1,906**	**-**	**382**	**197**	**-**	**-**	**-**	**-**	**2,485**
Intercompany liabilities																		
Due to affiliate	-	-	-	-	-	(193)	-	(204)	(397)	-	-	(28)	-	-	(280)	-	(206)	(514)
Due to ny affiliate	-	(228)	-	-	(192)	-	(252)	-	(673)	-	(214)	-	(26)	(278)	-	(331)	-	(849)
Loan from rsse	(143)	-	-	-	-	-	-	-	(143)	(197)	-	-	-	-	-	-	-	(197)
Loan from rsllc	(251)	-	-	-	-	-	-	-	(251)	(382)	-	-	-	-	-	-	-	(382)
Total intercompany liabilities	**(394)**	**(228)**	**-**	**-**	**(192)**	**(193)**	**(252)**	**(204)**	**(1,463)**	**(580)**	**(214)**	**(28)**	**(26)**	**(278)**	**(280)**	**(331)**	**(206)**	**(1,942)**
Intercompany balance	**1,037**	**(228)**	**251**	**143**	**(192)**	**(193)**	**(252)**	**(204)**	**361**	**1,326**	**(214)**	**355**	**172**	**(278)**	**(280)**	**(331)**	**(206)**	**543**

Source: Management provided trial balances; KPMG analysis

[OPEN – Management to provide explanation for why balances don't offset]

Appendix 10

Consolidating income statement (adjusted)

Consolidating income statement (adjusted)

	FY16									FY17								
$'000	**NY**	**CA**	**MA**	**FL**	**PA**	**IL**	**TX**	**DC**	**Total**	**NY**	**CA**	**MA**	**FL**	**PA**	**IL**	**TX**	**DC**	**Total**
Revenue	12,597	2,047	1,104	1,034	41	460	132	229	17,644	12,178	2,331	1,097	1,149	59	551	159	316	17,841
Expenses																		
Gross pay - Coaching	(3,471)	(852)	(328)	(394)	(32)	(203)	(71)	(66)	(5,416)	(3,194)	(874)	(365)	(411)	(29)	(252)	(57)	(86)	(5,270)
Location rent / facility fee	(1,795)	(226)	(118)	(151)	(2)	(41)	(7)	(38)	(2,379)	(1,463)	(225)	(107)	(169)	(0)	(43)	(9)	(46)	(2,063)
Gross pay - Admin	(2,757)	(539)	(252)	(238)	(68)	(110)	(107)	(91)	(4,163)	(2,650)	(594)	(290)	(305)	(62)	(144)	(95)	(100)	(4,239)
Payroll expenses	(926)	(252)	(87)	(100)	(21)	(67)	(36)	(32)	(1,520)	(844)	(266)	(93)	(112)	(15)	(86)	(38)	(39)	(1,493)
Office expenses	(780)	(58)	(52)	(34)	(19)	(20)	(20)	(17)	(1,000)	(696)	(54)	(54)	(41)	(17)	(22)	(21)	(19)	(922)
Premier expense	(652)	(16)	(2)	(2)	-	(0)	-	-	(672)	(585)	(34)	(5)	(3)	-	0	-	-	(627)
Marketing expenses	(189)	(17)	(12)	(4)	(2)	(9)	(2)	(3)	(238)	(72)	(42)	(22)	(16)	(3)	(6)	(3)	(3)	(166)
Professional fees	(201)	(1)	(5)	(0)	(0)	(3)	-	(0)	(210)	(143)	(4)	(3)	(3)	(1)	(3)	(1)	(3)	(159)
Other	(1,209)	(231)	(141)	(64)	(17)	(50)	(34)	(32)	(1,778)	(1,098)	(161)	(94)	(72)	(13)	(61)	(25)	(54)	(1,579)
Total expenses	(11,980)	(2,192)	(996)	(987)	(160)	(504)	(277)	(278)	(17,375)	(10,744)	(2,254)	(1,032)	(1,132)	(141)	(617)	(249)	(349)	(16,519)
Net income	**617**	**(145)**	**108**	**47**	**(119)**	**(44)**	**(145)**	**(49)**	**269**	**1,434**	**77**	**65**	**17**	**(82)**	**(66)**	**(90)**	**(34)**	**1,321**

Source: Management provided trial balances; KPMG analysis

Appendix 11

Consolidating balance sheet (reported)

Consolidating balance sheet (reported)

	As at 31-Dec-16									As at 31-Dec-17								
$'000	**NY**	**CA**	**MA**	**FL**	**PA**	**IL**	**TX**	**DC**	**Total**	**NY**	**CA**	**MA**	**FL**	**PA**	**IL**	**TX**	**DC**	**Total**
Assets																		
Cash	90	14	14	7	3	11	1	3	144	93	16	9	3	3	1	0	8	135
Accounts receivable	245	50	121	41	1	6	2	10	475	214	83	37	68	1	9	3	2	417
Other current assets	83	10	5	8	-	2	-	1	109	249	20	11	8	0	4	1	5	297
Current assets	419	74	140	56	3	19	4	14	728	556	120	57	79	4	14	4	15	849
Fixed assets	247	28	51	0	1	1	1	(0)	329	268	31	53	0	2	1	1	1	358
Other non-current assets	1,744	5	251	147	1	1	-	2	2,151	2,279	5	382	201	5	1	-	2	2,875
Total assets	**2,409**	**107**	**441**	**204**	**5**	**21**	**5**	**16**	**3,208**	**3,103**	**155**	**493**	**280**	**11**	**16**	**5**	**17**	**4,081**
Liabilities & equity																		
Accounts payable	(695)	(37)	(39)	(15)	(3)	(11)	(5)	(4)	(809)	(529)	(69)	(34)	(52)	(5)	(51)	(2)	(27)	(769)
Credit cards payable	(151)	(15)	(7)	(8)	(0)	(3)	-	(2)	(186)	(252)	(8)	(5)	(4)	(1)	(4)	(1)	(2)	(279)
Other current liabilities	(4,283)	(229)	(0)	-	(195)	(193)	(252)	(204)	(5,356)	(4,097)	(215)	(28)	(26)	(280)	(278)	(331)	(206)	(5,459)
Current liabilities	(5,128)	(281)	(46)	(23)	(198)	(207)	(257)	(210)	(6,350)	(4,878)	(292)	(68)	(81)	(286)	(333)	(334)	(235)	(6,507)
Long term liabilities	(394)	-	-	-	-	-	-	-	(394)	(580)	-	-	-	-	-	-	-	(580)
Total liabilities	(5,523)	(281)	(46)	(23)	(198)	(207)	(257)	(210)	(6,744)	(5,458)	(292)	(68)	(81)	(286)	(333)	(334)	(235)	(7,087)
Equity	3,113	174	(395)	(181)	193	186	252	195	3,537	2,355	137	(425)	(199)	274	316	329	218	3,006
Total liabilities & equity	**(2,409)**	**(107)**	**(441)**	**(204)**	**(5)**	**(21)**	**(5)**	**(16)**	**(3,208)**	**(3,103)**	**(155)**	**(493)**	**(280)**	**(11)**	**(16)**	**(5)**	**(17)**	**(4,081)**

Source: Management provided trial balances; KPMG analysis

Appendix 12
Senior leadership gross pay

Senior leadership gross pay

	Reported			Adjustments			Adjusted		
$'000	**FY16**	**FY17**	**TTM Apr-18**	**FY16**	**FY17**	**TTM Apr-18**	**FY16**	**FY17**	**TTM Apr-18**
Founder & President	(844)	(428)	(452)	844	428	452	-	-	-
Incoming Chief Executive Officer	-	-	-	(300)	(300)	(300)	(300)	(300)	(300)
Chief Operating Officer	(210)	(185)	(180)	-	-	-	(210)	(185)	(180)
Chief Programs Officer	(135)	(140)	(145)	-	-	-	(135)	(140)	(145)
General Manager	(80)	(82)	(89)	-	-	-	(80)	(82)	(89)
Managing Director, Stars Premier	(110)	(111)	(111)	-	-	-	(110)	(111)	(111)
Director of Finance	(100)	(102)	(104)	-	-	-	(100)	(102)	(104)
Director of Strategy	(120)	(107)	(109)	-	-	-	(120)	(107)	(109)
Total	**(1,599)**	**(1,155)**	**(1,190)**	**544**	**128**	**152**	**(1,055)**	**(1,027)**	**(1,038)**

Source: Trial balances; Payroll registers; KPMG analysis

Appendix 13

NY admin gross pay by department

NY admin gross pay by department			
$'000	FY16	FY17	TTM Apr-18
Admin/office	(1,257)	(1,087)	(1,024)
General operations	(423)	(553)	(578)
Executive	(844)	(428)	(452)
Customer service	(301)	(272)	(246)
Finance	(176)	(178)	(181)
Staffing	(102)	(103)	(105)
Marketing	(82)	(82)	(76)
Partnerships	(74)	(88)	(75)
Equipment	(71)	(59)	(65)
Human resources	(5)	(20)	-
Business development	(25)	-	-
Total NY admin gross pay	**(3,361)**	**(2,870)**	**(2,802)**

Source: Management provided trial balances; KPMG analysis

Appendix 14
Historical capex

Historical capex

$'000	FY15	FY16	FY17	TTM Feb-18
Sports equipment	3	3	17	17
Van	-	-	-	11
Furniture & equipment	1	1	7	6
Computers	42	26	2	2
Office equipment	1	-	2	2
Furniture & fixtures	21	1	1	-
Customer list – Totz Soccer	55	-	-	-
Total	**122**	**32**	**29**	**39**

Source: Fixed asset activity; KPMG analysis

The adjacent table presents historical capex spending from FY15 to TTM Feb-18. Management represents there is no planned capex.

Represents the purchase of two Dragon Goals, which are undersized soccer fields used for technical skill development.

Represents the purchase of a van by the New York entity.

Appendix 15

Other costs (adjusted)

DRAFT

Other costs (adjusted)

	FY16									FY17								
$'000	**NY**	**CA**	**MA**	**FL**	**PA**	**IL**	**TX**	**DC**	**Total**	**NY**	**CA**	**MA**	**FL**	**PA**	**IL**	**TX**	**DC**	**Total**
Credit Card Processing Fees	(274)	(32)	(18)	(20)	(1)	(9)	(3)	(5)	(361)	(244)	-	(17)	(21)	(1)	(9)	(3)	(6)	(301)
Clothing Costs	(115)	(23)	(10)	(6)	(1)	(6)	(4)	(2)	(168)	(180)	(19)	(8)	(12)	(0)	(17)	(5)	(17)	(259)
Equipment Costs	(25)	(19)	(15)	(6)	(3)	(11)	(8)	(4)	(91)	(74)	(29)	(12)	(5)	(6)	(13)	(2)	(2)	(144)
Travel Expense	(68)	(31)	(40)	(14)	(1)	(6)	(7)	(6)	(172)	(54)	(20)	(11)	(13)	(3)	(4)	(8)	(5)	(118)
Soccer.com Expense	(192)	-	-	-	-	-	-	-	(192)	(90)	-	-	-	-	-	-	-	(90)
Insurance Expense	(69)	(8)	(9)	(4)	(0)	(1)	(1)	(1)	(93)	(58)	(10)	(9)	(5)	(0)	(3)	(2)	(1)	(87)
Westchester Regional Costs	(120)	-	-	-	-	-	-	-	(120)	(82)	-	-	-	-	-	-	-	(82)
Long Island Regional	(62)	-	-	-	-	-	-	-	(62)	(66)	-	-	-	-	-	-	-	(66)
Storage	(40)	(1)	-	-	(0)	-	-	(1)	(42)	(41)	(6)	-	-	(0)	-	-	0	(47)
Job Posting/Background Checks	(30)	-	-	-	(0)	(5)	(3)	(3)	(41)	(30)	-	-	-	(0)	(4)	(2)	(2)	(38)
HR Expenses	-	(13)	(17)	(2)	-	-	-	-	(33)	-	(16)	(17)	(4)	-	-	-	-	(36)
Kick & Play Costs	(58)	(11)	(2)	(4)	(2)	(1)	(1)	(1)	(80)	(22)	(4)	(1)	(2)	(1)	(1)	(0)	(1)	(33)
Business Meeting	(22)	(2)	(2)	(1)	(0)	(1)	(0)	(0)	(29)	(20)	(1)	(4)	(1)	(0)	(1)	(0)	(0)	(28)
Coach Expenses	(17)	(14)	(3)	(2)	(0)	(2)	(3)	(1)	(42)	(12)	(4)	(2)	(4)	-	(2)	(0)	(2)	(27)
San Francisco Regional Costs	-	(37)	-	-	-	-	-	-	(37)	-	(28)	-	-	-	-	-	-	(28)
Birthday Party Costs	(32)	-	(0)	-	-	(0)	-	-	(32)	(26)	-	(0)	-	-	-	-	-	(26)
Contribution and Donations	(23)	(0)	(1)	-	-	-	-	(0)	(24)	(17)	(1)	-	(0)	(0)	-	-	-	(18)
Camp&Clinic Costs	(24)	-	-	-	-	-	-	-	(24)	(18)	(0)	-	-	-	-	-	-	(18)
San Diego Regional Costs	-	(11)	-	-	-	-	-	-	(11)	-	(18)	-	-	-	-	-	-	(18)
Business Licenses and Permits	23	-	-	-	(1)	(1)	(0)	(0)	21	(4)	-	-	(0)	(0)	(1)	(1)	(1)	(7)
Special Needs Costs	(3)	(0)	(0)	-	-	-	-	-	(3)	(7)	(0)	(0)	-	-	-	-	-	(7)
Taxes	-	(22)	0	-	(1)	(0)	(0)	(0)	(24)	-	-	-	-	(0)	(0)	(0)	(0)	(1)
Event Expenses	-	(3)	(0)	(2)	-	-	-	(0)	(5)	-	(2)	(1)	(1)	-	-	-	(1)	(4)
Corporation Fees	-	(1)	(1)	(1)	-	-	-	-	(3)	-	(2)	(1)	(1)	-	-	-	(0)	(4)
Automobile Expense	-	-	-	-	(6)	(4)	-	-	(10)	-	-	-	-	-	(4)	-	-	(4)
Bank Service Charges	(3)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(5)	(2)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(4)
Postage and Delivery	-	-	-	-	(0)	(2)	(1)	(1)	(3)	-	-	-	-	(0)	(2)	(1)	(0)	(2)
Printing and Reproduction	-	-	(0)	-	-	(0)	(1)	-	(1)	-	-	(1)	-	-	(0)	(0)	(1)	(2)
Reconciliation Discrepancies	(6)	0	0	(0)	(0)	(0)	-	-	(6)	(1)	(0)	(0)	0	(0)	0	0	(0)	(1)
Other	(49)	-	(22)	(2)	-	(1)	(3)	(6)	(84)	(52)	-	(10)	(3)	(0)	(1)	(1)	(12)	(80)
Total other costs	**(1,209)**	**(231)**	**(141)**	**(64)**	**(17)**	**(50)**	**(34)**	**(32)**	**(1,778)**	**(1,098)**	**(161)**	**(94)**	**(72)**	**(13)**	**(61)**	**(25)**	**(54)**	**(1,579)**

Source: Management provided trial balances; KPMG analysis

Appendix 16

Cash flow proof - NYC

Revenue proof - New York			
$'000	FY17	YTD Apr-18	
Cash receipts per bank statements	**21,593**	**5,970**	
Adjustment for bank transfers	**(9,424)**	**(2,345)**	
Change in AR	(31)	(56)	
Change in other current assets	5	70	
Change in deferred revenue	14	2,260	
Adjusted cash inflows	**12,157**	**5,899**	A
Revenue, reported	**12,278**	**5,968**	B
Variance ($'000)	**(121)**	**(69)**	C = A-B
Variance (%)	***(1.0%)***	***(1.2%)***	= C/B

Expense proof - New York			
$'000	FY17	YTD Apr-18	
Cash disbursements per bank statements	**21,220**	**6,098**	
Adjustment for bank transfers	**(8,268)**	**(2,272)**	
Change in AP	(167)	[Open]	
Change in Accruals	(70)	[Open]	
Change in prepaids	(160)	[Open]	
Adjusted cash disbursements	**12,555**	**3,826**	A
Expenses, reported	12,790	3,764	
Less: depreciation	(44)	-	
Adjusted expenses	**12,746**	**3,764**	B
Variance ($'000)	**(192)**	**61**	C = A-B
Variance (%)	***(1.5%)***	***1.6%***	= C/B

Source: Management provided trial balances; KPMG analysis

The adjacent tables present a cash flow proof whereby cash receipts and disbursements from the Company's monthly bank statements were reconciled to revenues and expenses recorded in QuickBooks.

Main reconciling items include interbank transfers, shareholder contributions and disbursements, and changes in balance sheet working capital items impacting cash.

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